

The complaint

Mr A has complained about Aviva Insurance Limited's decision not to cover repairs to prevent future flooding to his home. Mr A made a successful claim under his home and buildings insurance policy. Aviva says it will only cover the costs to repair the damage caused by the flood.

What happened

In February 2020 the basement of Mr A's home was damaged by water ingress after heavy rainfall. Mr A says the basement houses the bedrooms for his two children.

Mr A reported the damage and made a claim to his insurer, Aviva. Aviva instructed a surveyor to inspect the damage and validate the claim. The surveyor recommended the claim be accepted and for repairs to the damage caused by the flooding to be covered by Aviva.

Mr A wanted his claim to include repairs to the existing waterproofing system to prevent future flooding. But the surveyor said this wasn't damaged by the flood. So he said it wouldn't be covered. But if Mr A wanted to upgrade the waterproofing system, this would be something he'd need to consider at his own cost.

Mr A didn't agree, and he asked us to look at his complaint. He said his property wasn't protected from further flooding. He said the likely risk of this happening further in the future was a lot higher. Mr A said they're unaware of this happening in the recent past and weren't informed of any past flooding on the home report when they purchased their home.

Our investigator thought Aviva had acted reasonably. He explained that its responsibility is to cover the damage caused by an insured event. As the surveyor reported the waterproofing wasn't damaged by the flood, any upgrade Mr A wanted wouldn't be something Aviva would include in the claim.

Mr A didn't agree. In summary he said Aviva had a duty to provide long lasting and effective repairs. The policy doesn't provide an exclusion for possible defective design. No invasive inspection was carried out and Mr A didn't see the surveyor's report. Mr A cited a case study from our website but wasn't satisfied the investigator had provided enough detail as to why the circumstances in his case weren't the same. The case study in question related to water ingress in a basement. This service had upheld the complaint and required the insurer to pay for the installation of a waterproofing system to ensure effective and long lasting repair of the incident related damage.

Aviva agreed for our investigator to send Mr A a copy of the reports it relied on when making its decision. The investigator explained that he thought the case study wasn't exactly the same as Mr A's case. And we look at cases individually.

He referred to email correspondence between Mr A and the surveyor following his inspection. This suggested a pre-existing condition with the tanking (waterproofing) system. And as the surveyor didn't report any damage caused by the insured event, any

improvement wouldn't be covered by Aviva. He thought it reasonable for Aviva to only meet repairs caused by the flood, and to rely on the professional opinion of the surveyor.

Mr A didn't agree. After reviewing the reports, he said he hadn't read anything which challenges what he's said. He didn't agree that his view about issues relating to the installation of the existing waterproofing system before he moved in should be used as he isn't qualified to provide guidance. This is also what the surveyor relied on and isn't a technical opinion.

Mr A said he received advice that the flooding that occurred in February 2020 would have compromised the existing waterproofing system that was previously adequate – but will now no longer be. So in his view, this shows the existing waterproofing system was damaged and should be covered under the claim.

Mr A told us the basement flooded again in August 2020.

I issued a provisional decision on 21 October 2020. I didn't think Aviva had shown that the surveyor had assessed the waterproofing system. It seemed he had largely relied on discussions with Mr A after his inspection to decide the waterproofing was damaged. I didn't think that was enough or reasonable to form a professional opinion.

So I intended to uphold the complaint. In line with our approach, I didn't think it possible for Aviva to carry out long lasting and effective repairs without tanking repair.

I invited both parties to provide further expert evidence about the tanking and the impact of the claim damage upon it.

Aviva replied to my provisional decision. It has referred to the email exchange between the surveyor and Mr A after inspection, which I'd considered when issuing my provisional decision. Aviva considers this to be a basic issue: that the waterproofing system is not damaged but just not up to the job. It says it isn't responsible for upgrading the system to prevent any further losses where the existing waterproofing system has not been damaged, but was overwhelmed by the volume of water present on this occasion.

Mr A has provided a copy of an invoice from a builder for the preparation of the waterproofing and for advice given to the architect for converting the basement in May 1999.

As both parties have replied, the case has been passed back to me to decide.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

Mr A's policy with Aviva – like all standard insurance policies - doesn't provide cover for every eventuality. It provides cover for damage caused by a specific insured event: in this case, flood. However, it doesn't provide cover for works to prevent future damage. But the repairs it does carry out to the incident related damage should be effective and long lasting. Mr A says the converted basement has a tanking system that has worked for many years holding back the normal groundwater.

In my provisional decision I explained that I'd read the key email exchanges between Mr A and the surveyor following his report dated 24 February 2020. Mr A commented to the surveyor that the system 'is not fit for purpose and flawed', which Aviva has highlighted. It says Mr A was aware that the existing tanking system wasn't up to the job. However, I think

Mr A's comment that the system has shown to be flawed was in response to the flood. As Mr A says, he isn't qualified to give an expert opinion on the cause of the damage or whether the waterproofing system was adequate

Aviva instructed a surveyor to provide a professional opinion based on their inspection and findings. The surveyor said that Aviva wouldn't deal with repairs to the waterproofing system as there is no damage to this.

I reviewed the surveyor's findings dated 24 February 2020. In my provisional decision I said I didn't think Aviva had the evidence to support the conclusion that there was no damage to the waterproofing system. The surveyor makes no reference to inspecting the waterproofing system in his report. It says:

"SURVEY FINDINGS – At time of survey if found the basement of the property has been affected due to recent heavy rain fall. The insured has concrete floors in the basement and pipe style under floor heating which has helped the floor dry out quicker than expected. The engineered flooring in the 2 bedrooms is damaged and needs lifted and replaced. The floor has cupped and bubbled and needs to be lifted asap as there is water trapped underneath."

"The walls are wet and need to be stripped approximately 500 high from the floor in each room. The walls are plasterboard and flat finished. The water has flooded beneath the property and there are no previous records of this happening. The volume of rain has been too much for the drainage to cope and in turn has caused the water to gather beneath the property and rising round the perimeter of the concrete slabs. The under-floor heating manifold has not been effaced and the under-floor heating is plastic pipes so not damaged. This has helped dry the exposed floor out."

Since my provisional decision, Aviva has provided no new evidence to persuade me that the surveyor inspected the waterproofing system.

Mr A says he received advice that the flooding in February 2020 compromised the waterproofing system that was previously adequate. He says:

"Having also spoken to a basement waterproofing company, they have informed me that once water finds its way through the waterproofing system as installed, that path is now open for future flooding. What this means is that the major flooding that occurred in February of this year will have compromised the waterproofing that was proven to be adequate will now no longer provide the protection that it has previously- hence damage has occurred."

So in his view, this shows the existing waterproofing system was damaged and should be covered under the claim.

Without any new evidence, my view remains along the same lines as in my provisional decision. It seems beyond doubt that a repair of Mr A's basement without tanking repair wouldn't be either effective or long lasting – and that a future ingress of water would be inevitable. I appreciate that Aviva describes this work as an upgrade. But I don't think it is and that links to the advice Mr A received and the subsequent flood a few months later.

Mr A's children slept in the basement before the flood. The basement's waterproofing system has been in place for around 20 years. And the surveyor said there were no previous record of flooding beneath the property. I'm satisfied that the basement was watertight

before the first flood, but it isn't now. And so for Aviva to properly deal with the claim it should make a long lasting repair which includes installation of a waterproofing system.

My final decision

My final decision is that I uphold this complaint. I require Aviva Insurance Limited to include installation of tanking in the repairs under Mr A's claim.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr A to accept or reject my decision before 14 December 2020.

Geraldine Newbold
Ombudsman